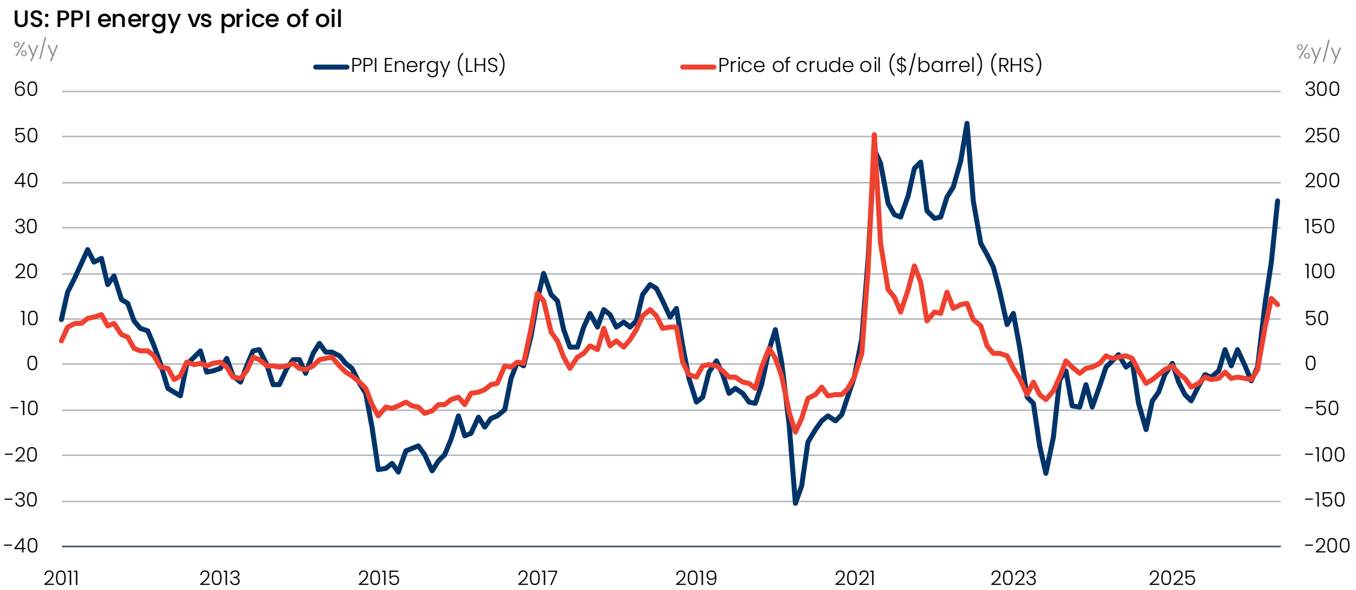
Impact of higher energy prices on the PPI is broadening

- **Another strong increase in energy prices pushed headline producer price inflation to its highest level since November 2022. There are also signs that higher energy costs are beginning to bleed through to other goods and services, like transportation and food costs.**
- **AI demand is raising producer prices, in part due to a shortage of DRAM memory chips, which are necessary for AI technology. With demand for AI unlikely to cease, we expect producer prices in this sector will remain elevated.**
- **With both the March CPI and PPI data in hand, our PCE tracking nowcast points to a 4.1% y/y rise in headline prices. This would be the hottest PCE inflation has been since April 2023.**

The May producer price index rose by a stronger-than-expected 1.1%, lifting PPI inflation to 6.4% y/y, up from 5.7% in April. This is the highest producer price inflation has been since November 2022. May's m/m rise was driven by higher energy prices, which increased 10.7% (Chart 1).

Excluding food and energy, core producer prices increased 0.4%, leaving core inflation steady at 4.9% y/y. Core inflation was softer than expected due to a decline in trade services costs, however, other details suggest that higher energy prices are continuing to pass through to other goods and services prices. For example, elevated diesel fuel costs caused transportation and warehousing prices to jump 2.6% in May, leaving them up 14.2% y/y.

Chart 1: Higher energy prices adding upward pressure to PPI



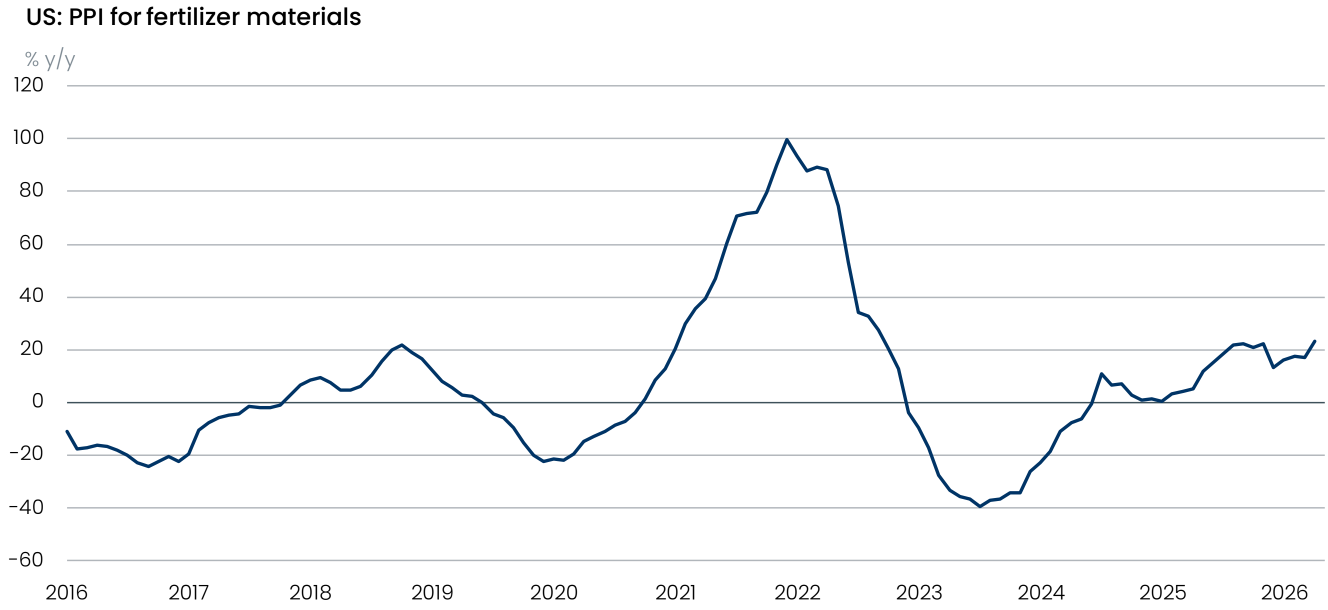
Sources: Oxford Economics, Haver Analytics

Grace Zwemmer | US Economist | gzwemmer@oxfordeconomics.com

Diesel fuel is also crucial for food prices, as it powers farm equipment along with commercial shipping and trucking. Food prices rose by 0.6% in May, a stronger reading than the 0.2% rise seen in April. The longer the war persists, the more upward pressure food prices will face.

The war in the Middle East has also disrupted the global fertilizer market, causing prices to rise more than 28% y/y (Chart 2). Fertilizer prices impact retail food prices with a 6-to-12-month lag due to the duration of crop cycles, which is another reason we expect food inflation to rise this year.

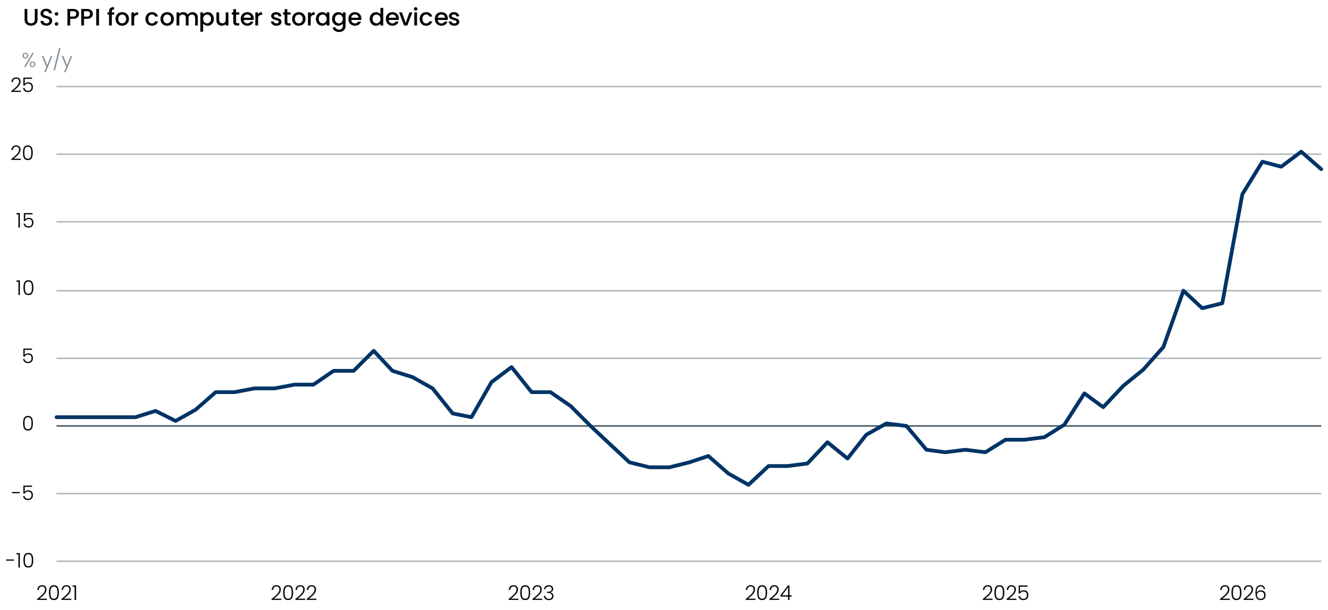
Chart 2: Higher fertilizer costs could lift food inflation



Sources: Oxford Economics, Haver Analytics

Goods prices excluding food and energy increased by 0.8%, pushing core goods inflation above 5% for the first time since February 2023. This has partially been driven by the strength in electronics components and accessories prices. AI demand has created a shortage of DRAM semiconductor chips, which are widely used for memory storage in computers, laptops, and smartphones. Producer prices for computer storage devices rose by an additional 2% in May, and are 19% higher y/y (Chart 3).

Chart 3: AI demand and supply shortages pushing up electronics prices



Sources: Oxford Economics, Haver Analytics

Furthermore, the conflict in the Middle East has damaged important infrastructure for AI supply-chains, including natural gas and helium plants. If this constrains the supply of AI-related goods further, at a time when AI demand is unlikely to cease, prices could be pushed even higher.

With both the May CPI and PPI data in hand, our PCE tracking nowcast points to a 0.5% rise in headline prices, and a 0.3% rise in core prices in May. This would still push headline PCE up to 4.1% y/y, it's hottest reading since April 2023.

Stickier core goods inflation from AI buildout, passthrough from the oil price shock, and lingering tariff effects will keep the Federal Reserve at bay for most of 2026. However, with services disinflation still in the pipeline, and a labor market that is far from overheating, we do not think the next move from the Federal Reserve will be a rate hike.